CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE Q

(Elections Code Section 9280)

This measure was placed on the ballot by the Richmond City Council. It requires a two-thirds vote of the electorate to pass.

If approved, this measure would authorize the City of Richmond to issue general obligation bonds in a principal amount not to exceed $120,000,000, to be repaid through an ad valorem property tax levied on all taxable property within the City.

The proceeds of the bonds would fund:

• Repair, replacement, or reconstruction of fire stations, including seismic improvements;

• Renovation, upgrade, reconstruction, or acquisition of firefighter living quarters, including remediation of hazardous materials and improvements related to applicable building standards;

• Repair or replacement of electrical systems, roofs, plumbing, and piping at fire stations;

• Structural, seismic, and other resiliency improvements at fire stations;

• Repair, replacement, or installation of fixtures and building systems such as emergency generators, HVAC systems, and communications infrastructure; and

• Construction, renovation, upgrade, reconstruction, or acquisition of training facilities, administrative offices, apparatus bays, and other facilities supporting Fire Department operations.

The City Council retains discretion over the scope and sequencing of individual projects, and completion of all listed improvements is not guaranteed.

Bond proceeds may be used only for the acquisition or improvement of real property and fixtures, and related incidental costs, and may not be used for other municipal purposes.

The measure includes the following accountability requirements: proceeds may be spent only for the specific purposes described in the measure; proceeds will be deposited into a separate account; the City Council will appoint a Community Oversight Committee of City residents to monitor expenditure of the proceeds; the Director of Finance will file an annual report to the City Council on funds collected and expended and the status of authorized projects; and all expenditures will be subject to an annual independent financial audit.

The average tax rate to repay the bonds is projected to be $22.15 per $100,000 of assessed valuation, averaging approximately $7,568,158 annually while the bonds remain outstanding. The highest tax rate is projected to be $24.06 per $100,000 of assessed valuation, first applying in fiscal year 2028. The total debt service, including principal and interest, if all bonds are issued and sold, is estimated to be $249,749,206, with the final fiscal year in which the tax is anticipated to be collected being 2060. The Tax Rate Statement, prepared under Elections Code Section 9401, contains additional detail and is available from the Richmond City Clerk.

The maximum interest rate on the bonds would be 12 percent per annum. Bonds may be issued in one or more series as determined by the City Council.

A “YES” vote authorizes the City to issue the bonds as summarized above.

A “NO” vote does not authorize the City to issue the bonds.

This analysis summarizes the measure’s legal effect and is not an argument for or against the measure. The full text of the measure is available in the Voter Information Guide and from the Richmond City Clerk.

SHANNON MOORE
Interim City Attorney, City of Richmond